LAMBO 2026 Business Case Competition

Finals Case: From Sari-Sari to SukiMart

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Finals: June 27, 2026 | LAMBO Main Stage, Waterfront Cebu City Hotel and Casino | For the Top 5 teams only.

Part 1: The Story

Cristina Mahinay is forty-four years old, and for thirteen years she has run the busiest store on her street.

Everyone in Barangay Guadalupe knows Tindahan ni Tina. It started as one wooden shelf bolted to the front of her house, a few rows of sachets, a cooler of soft drinks, a glass jar of candies sold per piece. Today it is a real store. She sells load, cigarettes per stick, rice per gatang, instant noodles, shampoo in tingi, bread in the morning, cold beer at night. On a good day, ten thousand pesos passes through her hands. Her suki trust her. Her store never closes before ten in the evening, and it opens before six.

Tina has a simple way of explaining her business. She says it like a rule that has never failed her.

"Kung mupalit kog napulo ka libo nga paninda, ibaligya nako ug dugang baynte porsyento. Mao na akong ginansya."

If I buy ten thousand pesos of goods and sell at twenty percent more, that twenty percent is my profit. For thirteen years, that math has fed her family, sent two children through school, and built a small pile of savings she keeps in the bank and never touches.

She has six hundred thousand pesos saved now. And lately she walks a little slower past the branded twenty-four-hour convenience store that opened a kilometer and a half away. She watches the cold air spill out the automatic doors. She watches students line up for cup noodles and hot coffee at ten in the evening. She watches people pay their electric bills, cash in their GCash, send padala, buy a rice meal, all in one bright, clean, air-conditioned room. And she thinks the thought that will not leave her alone.

Why not me. But mine. One store. Owned by me.

She has done the asking around. A local cooperative will lend her seven hundred fifty thousand pesos. Add her own six hundred thousand, and she can build it. A real convenience store under her own name. She has even picked a name. **SukiMart**. Because the whole idea is that her suki, her loyal customers, finally get the store they deserve, and she finally gets to stop being just a sari-sari and start being something bigger.

She was ready to sign the loan papers this week.

Then her daughter Jamie, who is finishing a business degree, sat with her at the counter one slow afternoon and asked a quiet question.

"Ma. The twenty percent. Once we are paying rent, and aircon, and three staff, and the loan every month, is the twenty percent still enough? Or are we just busier and poorer?"

Tina did not have an answer. She has never had to think about rent, because the store sits in her own house. She has never paid herself a salary, because the money is just the money. She has never had a loan payment land on the first of every month whether the store was busy or empty.

For the first time in thirteen years, Tina is not sure her rule is true.

That is where you come in.

Part 2: The Decision

Tina has invited your team in as her advisers. She does not want a cheerleader and she does not want a lecture. She wants the truth, backed by numbers, and one clear recommendation she can act on.

There are three paths in front of her, and she needs you to choose, not hedge.

1. **Make the full jump.** Build SukiMart, the complete convenience store, financed by her savings plus the loan.
2. **Transition in stages.** Upgrade deliberately over time, adding pieces only when each one pays for itself, and delay or avoid the loan.
3. **Stay a sari-sari, but run it like a business.** Forget the convenience store, and instead squeeze far more out of what she already has.

Whatever you recommend, you must prove it is the smartest twelve-month move for Tina, using the data in this pack. There is no prize for picking the most ambitious option. There is a prize for being right, and for being honest about the risk.

And one rule that decides this competition. Tina is one person with one store. Telling her to do everything at once is the fastest way to lose.

Part 3: Why This Case Is Hard

Most people, like Tina, confuse markup with profit. They are not the same thing.

In a sari-sari store, the gap between the two is hidden, and that is exactly why sari-sari stores survive where formal retail dies. The owner pays no rent, because the store is the house. The owner takes no salary, because the labor is free. The electricity hides inside the family bill. There is no loan, no payroll, no monthly fixed cost that arrives whether customers come or not. So in a sari-sari store, a twenty percent markup really does land close to twenty percent in the owner's pocket.

A convenience store is a different animal. The moment Tina formalizes, every cost that used to be invisible becomes a hard peso that must be paid on a fixed date. Rent. Refrigeration running day and night. Staff for sixteen hours a day. A loan. Permits and renewals. The same twenty percent markup now has to feed all of that before a single peso reaches Tina. Formalizing a business can quietly destroy its margin, and many owners only discover this after they have spent everything to find out.

Your job is to figure out, in pesos, whether SukiMart survives that transformation. If it does, show how, and show how AI helps it survive. If it does not, have the courage to say so, and give Tina the smarter path.

The data you need is below. It is realistic, it is internally consistent, and it is enough to build a complete financial case. Read it slowly. The answer is not on the surface.

Part 4: The Data Exhibits

All figures are in Philippine pesos. The data describes a representative recent month and verified cost estimates Tina has gathered. The company and the people are fictional.

Exhibit A: Tindahan ni Tina, Monthly Profit and Loss (today)

Line	Amount	Notes
Gross sales	180,000	*About 6,000 per day*
Cost of goods sold	148,500	*82.5 percent of sales*
Gross profit	**31,500**	*Blended margin 17.5 percent*
Electricity, store share	2,800	*Mixed into the household bill, likely understated*
Spoilage and unrecovered utang	1,700	*Spoiled bread and ice, expired sachets, unpaid credit*
Plastic bags and supplies	800	
Load and e-wallet float, fees	400	
Total cash operating cost	**5,700**	
Cash left for Tina	**25,800**	

MEMO FOR ADVISERS

Tina works roughly sixteen hours a day and pays herself nothing. A fair replacement wage for that work is about 16,000 a month. If Tina paid herself, the store's true economic profit would be closer to 9,800 a month. Tina believes she earns 25,800. As a business, it earns far less. This gap is the heart of the case.

Notice also that Tina thinks her markup is twenty percent. Her blended gross margin is actually 17.5 percent. Even her starting number is softer than she believes.

Exhibit B: Current Sales Mix and Margin by Category

Category	Share of sales	Monthly sales	Gross margin
Mobile load and e-load	8%	14,400	8%
Cigarettes, sold per stick	14%	25,200	9%
Soft drinks and beverages	16%	28,800	16%
Snacks and biscuits	12%	21,600	22%
Sachet tingi, shampoo, coffee, condiments	15%	27,000	28%
Canned goods and instant noodles	11%	19,800	17%
Rice, per gatang	9%	16,200	10%
Bread and bakery	6%	10,800	25%
Beer and liquor	5%	9,000	14%
Ice and miscellaneous	4%	7,200	30%
Total	**100%**	**180,000**	**17.5% blended**

Read this carefully. Her highest-volume categories, cigarettes and load, carry her thinnest margins. Her fattest margins sit in categories she sells in small amounts. There is a mix story buried in here.

Exhibit C: Cost to Build SukiMart (one-time capital)

Item	Amount
Renovation and civil works	380,000
Refrigeration, chillers, freezers, beverage coolers	195,000
Shelving, gondolas, counters	110,000
POS, CCTV, and network	95,000
Air conditioning	48,000
Signage and branding	55,000
Initial inventory build-up	280,000
Permits, BIR registration, deposits, bond	92,000
Working capital buffer and contingency	95,000
Total capital required	**1,350,000**

Financing plan: Tina puts in 600,000 of her own savings. She borrows 750,000 from a cooperative at 18 percent per year, payable over 48 months. The monthly amortization is about 22,000, covering both interest and principal.

Exhibit D: Projected Monthly Operating and Financing Costs for SukiMart

Line	Monthly amount	Notes
Rent, commercial space	28,000	*Her lot plus adjacent rental*
Electricity	22,000	*Refrigeration and aircon running long hours*
Staff	39,000	*Three people covering a sixteen-hour day*
Owner's salary	18,000	*Tina now manages*
Loan amortization	22,000	
POS software and connectivity	4,000	
Permits and renewals	2,500	*Spread monthly*
Maintenance, supplies, bags	6,000	
Marketing and loyalty	3,500	
Insurance	2,000	
Total monthly fixed cost	**147,000**	

A NOTE FOR THE SHARP TEAMS

Of the 22,000 loan payment, only the interest portion is a true expense on a profit and loss statement. The principal portion repays the balance sheet. But every peso of that 22,000 still leaves Tina's cash drawer every month, so for survival it must be earned. Decide carefully which view you are using, and be consistent.

Exhibit E: Location and Foot Traffic

- **Site:** The corner of a barangay road near a jeepney stop and a small elementary school. About 220 square meters available once she rents the lot beside hers.
- **Average daily passersby:** 1,800 (foot traffic plus slow vehicles).
- **Households within 500 meters:** About 2,400.

- **Competition within 300 meters:** 6 sari-sari stores. One mid-size grocery sits 600 meters away. The nearest branded 24-hour convenience store is 1.4 kilometers away.
- **Peak movement:** 6 to 8 in the morning for commute and school, 11 to 1 at midday, and 5 to 8 in the evening.

This is a residential barangay corner, not a highway or a mall entrance. The traffic is real but it is not a flood.

Exhibit F: Convenience Format Benchmarks and New Category Economics

Independent neighborhood convenience stores, not big branded chains, typically run within these ranges.

- **Transactions per day:** 150 to 450, depending heavily on location and on whether the store offers services.
- **Average basket:** 90 to 140 pesos.

Category economics once she shifts to a convenience format:

Category	Typical margin	Note
Ready-to-eat, rice meals, siomai, hot coffee	45 to 55%	Highest margin, but spoils fast if demand is misjudged
Chilled beverages	18 to 22%	Reliable traffic and volume
Snacks and confectionery	25 to 30%	
Grocery and household	12 to 16%	Bulk of the shelf, thin margin
Tobacco	8 to 10%	Traffic driver, poor margin
Services, bills payment, e-wallet cash in and out, load, padala	Fee based	5 to 25 pesos per transaction, almost pure margin, and a powerful reason for people to walk in

WARNING BUILT INTO THE DATA

Perishables can earn the best margin in the store and also bleed the most money. Unmanaged, spoilage on perishable lines runs 8 to 15 percent of perishable sales. Get the forecasting wrong and the highest-margin category becomes the biggest loss.

Exhibit G: Operational Data, the Detail That Rewards Analysis

Representative hourly transaction pattern at Tindahan ni Tina, single sample day, 96 transactions:

Time block	Share of daily transactions
6 to 9 am	22%
9 to 11 am	9%
11 am to 1 pm	16%
1 to 4 pm	11%
4 to 7 pm	28%
7 to 10 pm	14%

Other operating facts:

- **SKU count today:** about 160 items. A convenience format would carry roughly 900.
- **Outstanding utang ledger:** 12,000, of which about 6 percent is never recovered.
- Current spoilage concentrates in bread, ice, and a handful of slow sachets.
- **Tina keeps no digital records.** Everything lives in a notebook and in her head.

That last fact matters more than it looks. A convenience store with 900 items, three staff, perishables, and a loan cannot be run from a notebook.

Part 5: What Your Team Must Answer

Build your case around these four questions. The weight of the competition sits on how well your numbers hold together, not on how bold your idea sounds.

1. **The verdict.** Which path should Tina take, the full jump to SukiMart, a staged transition, or a disciplined sari-sari? Decide, and prove it with the data.
2. **The break-even reality.** If SukiMart is built, what monthly sales and what product mix does it need to survive, and then to earn Tina a fair profit on top of her salary? Compare

that required sales level against what this specific location can realistically deliver. Be honest about whether the gap can be closed.

3. **The role of AI.** Show exactly where AI earns its place in this business, tied to a real problem in the data, with the impact quantified in pesos or in risk reduced. Buzzwords score nothing. A specific, affordable, believable use that moves the break-even scores everything.
4. **The plan.** Give Tina a twelve-month roadmap, a financing and payback view, and the three biggest risks with how she manages each one.

Part 6: Where AI Can Earn Its Place

You are not told what to build. You are shown where the pain is, and AI is welcome anywhere it genuinely reduces cost, lifts sales, or cuts risk. The data above deliberately leaves room for it. A few honest openings, for your team to take further or ignore:

- Perishables are the highest-margin and highest-loss category in the store. Demand sits in clear time patterns. There is a forecasting problem here worth real money.
- Nine hundred SKUs cannot be reordered by feel. There is an inventory and replenishment problem here.
- The hourly pattern in Exhibit G is uneven. There is a staffing and scheduling problem here.
- A convenience store loses money to shrinkage that a sari-sari owner watching her own counter never faced. There is a loss-prevention problem here.
- Tina has thirteen years of suki relationships and zero data on them. There is a loyalty and customer problem here.
- The go or no-go decision itself rests on predicting sales at a marginal location. There is a forecasting problem here too.

Pick where AI matters most. Cost it. Prove the payback. Do not sprinkle it everywhere.

Part 7: What to Submit and How You Present

You will present live on the LAMBO main stage on June 27.

- A slide deck in PDF, maximum 15 slides, excluding the cover and the appendix.

- Your deck must show where and how your team used AI in building the case, and the appendix must carry an AI-use disclosure naming every tool.
- File name: `SchoolName_TeamName_LAMBO2026_Finals.pdf`.
- On stage you have a 7-minute pitch followed by a 5-minute question and answer from the panel.

No coding is required and no AI background is assumed. What is required is a recommendation a real store owner could act on, defended with numbers that survive hard questions.

Part 8: How You Will Be Judged

Scored out of 100.

Criterion	Weight
Problem framing and business understanding	20
AI solution design and feasibility	25
Strategic and commercial impact	25
Executive presentation and storytelling	20
Question and answer handling	10

What wins. There is no single correct path in this case. A well-argued full jump, a well-argued staged transition, and a well-argued decision to stay and optimize can all score full marks. What separates the champion is the honesty and quality of the financial reasoning, a use of AI that is specific and earns its cost, and the courage to give one clear answer instead of hiding behind every option at once.